

Real Estate Investment Conditions for Local Citizens Across Europe

Assessing the widening affordability gap between property prices and local wages (2016-2025)



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Real Estate Investment Conditions Across Europe

Question: “Is it still economically possible for local citizens to invest in their own housing market?”

Sources:

- Eurostat database 2016-2025
- 25 European countries with complete 10-year data

Key Metric

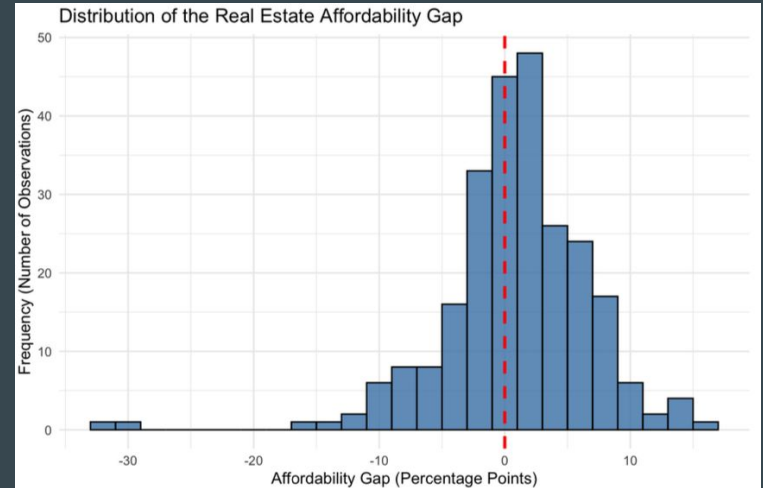
- The Affordability gap
- Calculated by subtracting annual wage growth from house price growth

Descriptive Statistics & Market Facts

- In 59.6% of all analyzed data, house price growth outpaces local wage growth
- Wage growth (mean is 5.65%) and inflation (mean is 3.31%) are relatively stable but pushed up by a few extreme years.
- House prices are highly unstable. The affordability Gap fluctuates intensively from -32.8% to 16.2%.
- In 4.4% of analyzed data, house prices grew by 10 or more percentage points compared to local wages in a single year.

The Disconnect Between Wages and Housing

- Scatterplot shows a weak correlation between wage growth and house prices.
- Even when annual wage growth is normal (0-10%), house prices fluctuate intensively. Real estate prices are mostly independent of income.
- Histogram is clearly right skewed. For most observed countries, a decrease in real estate affordability is the most typical outcome.



Where is the Widest Affordability Gap ?

- Portugal (mean gap is 6.02%), the Netherlands (4.63%), and Spain (3.72%) are the worst for residents. Purchasing power in these countries is dropping the fastest.
- Romania (-9.40%) nad Lithuania (-3.16%) show negative affordability gaps, meaning good house prices compared to wages.
- While markets like Romania seem highly favorable, our data shows they suffer from extreme economic volatility, making them unstable for investors.

Limitations & Conclusion

- Our averages hide huge differences between expensive capital cities and rural areas.
- The data analyzes only standard employees and does not include the purchase power of entrepreneurs and self-employed people.
- To prove true causation, we would need to include data like local housing supply, foreign investments and mortgage interest rates.
- Property prices are detaching from local economies.
- Weak correlation between wage growth and house prices (0.29).
- Weak correlation between general inflation and house prices (0.32).
- Relying only on labour income is becoming an increasingly unreliable method for European citizens to invest in their local housing markets.